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Across large sections of the public, including among educated and informed people, there was dismay that the contagion of the global financial crisis had spread to India. One of my big challenges in that first year was not only to respond to the crisis at the policy level, but also to explain to the public why we were, in fact, hit by the crisis.

In order to understand the public dismay, it is necessary to throw our mind back to the heady days of 2008 before the Lehman collapse. Recall that India was on the verge of being christened the next miracle economy of the world. Growth was surging at more than 9 per cent; the fiscal deficit was on the mend; the rupee was appreciating and asset prices were rising. There were inflation pressures but the general perception was that our inflation was a problem of success, a sign of rising incomes and shared prosperity, rather than a symptom of failure. Most importantly, we thought we had ‘decoupled’—that even if advanced economies went into a downturn, emerging-market economies would not be affected because of their improved macroeconomic management, robust external reserves and sound banking sectors. But there was no decoupling, after all.

So why did India get hit by the crisis? The reason we were hit was that, by 2008, India was more integrated into the global economy than we consciously recognized. India’s two-way trade (merchandise exports plus imports), as a proportion to the gross domestic product (GDP), more than doubled over the past decade: from about 20 per cent in 1998–99, the year of the Asian crisis, to over 40 per cent in 2008–09, the year of the global crisis.

If our trade integration was deep, our financial integration was even deeper. A measure of financial integration is the ratio of external transactions (gross two-way current account plus gross capital account flows) to the GDP. This ratio had more than doubled, rising from 43 per cent in 1998–99 to 111 per cent in 2008–09, evidencing the depth of India’s financial integration. What this integration meant was that if global